

AI Contract Risk Analysis Report

Filename: Untitled document.docx
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1. Document Information

Filename	Untitled document.docx
File Type	docx
Upload Date	2026-07-10 12:25:22.766539

2. Contract Analysis

Contract Type	Service Agreement
Parties	["TechNova Solutions Pvt. Ltd.", "BrightEdge Consulting Services"]
Effective Date	2025-01-15
Expiry Date	2026-01-15
Payment Terms	Client agrees to pay Service Provider a monthly fee of PKR 250,000, payable within fifteen
Renewal Clause	Agreement automatically renews for successive twelve (12) month periods unless either pa
Termination Clause	Either party may terminate by providing thirty (30) days written notice. Client may terminate
Confidentiality	Both parties agree to maintain confidentiality of all proprietary information disclosed during t
Jurisdiction	laws of Pakistan, with exclusive jurisdiction of the courts of Lahore, Punjab.

3. Risk Assessment

Overall Risk Score: 70/100

Risk Title	Level	Confidence	Explanation	Recommendation
Ambiguous Email Notice Deemed Receipt	Low	70%	Clause 9 states notice is 'deemed received five (5) business days after dispatch' even for email, which is unusually long for electronic communication and could lead to disputes regarding effective notice timing.	Revise the deemed receipt clause for email to reflect actual electronic delivery, such as 'upon transmission' or 'within one (1) business day,' and ensure an email read receipt or confirmation process is used.
Unfavorable Exclusive Jurisdiction for Service Provider	Medium	80%	Clause 8 specifies exclusive jurisdiction of Lahore courts, which may be an administrative and cost burden for the Service Provider operating from Karachi in the event of a dispute.	Consider negotiating for a neutral jurisdiction, or a clause that allows for disputes to be resolved in either Karachi or Lahore, or implement alternative dispute resolution mechanisms like mediation or arbitration.

Lack of Performance-Based Remedies	Medium	80%	The contract lacks clauses outlining specific remedies or service level agreements (SLAs) for unsatisfactory performance, beyond the Client's right to terminate for material breach, leaving gaps for addressing minor or chronic performance issues.	Incorporate Service Level Agreements (SLAs) with measurable performance metrics, and include remedies such as service credits, re-performance requirements, or escalation procedures for non-compliance.
Auto-Renewal with 60-Day Notice Period	Medium	85%	The Agreement automatically renews for successive 12-month periods unless a 60-day notice of non-renewal is provided, creating a risk of unintentional renewal if notice is not diligently tracked and given.	Implement a robust calendar reminder system to track the non-renewal notice period. Consider negotiating a shorter notice period or requiring affirmative renewal instead of automatic renewal.
Vague Confidential Information Definition	Medium	90%	Clause 5 refers to 'proprietary information' but lacks a clear definition of what constitutes such information, its scope, exclusions (e.g., publicly known, independently developed), or marking requirements.	Add a detailed definition of 'Confidential Information' including examples, exclusions, and procedures for marking or identifying such information to avoid ambiguity and disputes.
Excessive Late Payment Interest Rate	Medium	90%	A late payment interest rate of 2% per month (24% per annum) is high and could be considered punitive or usurious in some contexts, potentially leading to disputes or legal challenges depending on local laws.	Review the commercial reasonableness of the 2% monthly interest rate and consider reducing it to a more standard commercial rate (e.g., 1% per month or a percentage over a benchmark rate).

One-Sided Immediate Termination Right	Medium	95%	The Client has the right to terminate immediately without notice for material breach by the Service Provider, but the Service Provider does not have a reciprocal immediate termination right for a material breach by the Client (e.g., severe non-payment).	Introduce a reciprocal right for the Service Provider to terminate immediately for defined material breaches by the Client, such as prolonged non-payment or failure to provide necessary resources.
Unlimited Liability for Service Provider	High	100%	Clause 6 states the Service Provider's total liability is 'unlimited' and extends to all direct, indirect, incidental, and consequential damages, exposing the Service Provider to potentially catastrophic financial risk.	Negotiate a clear cap on liability for the Service Provider, typically tied to the total fees paid under the agreement, and exclude indirect, incidental, and consequential damages.
Missing Schedule A (Scope of Services)	High	100%	The Agreement refers to 'Schedule A attached hereto' for the description of services, but Schedule A is not provided, making the core scope of services undefined within the document.	Ensure Schedule A is drafted, attached, and clearly defines all services, deliverables, and any specific service levels (SLAs) to avoid disputes over expectations.

4. Executive Summary

Error generating summary: API quota exceeded or rate limit reached.

Payment Summary: Not available

Termination Summary: Not available

Risk Summary: Not available

5. Recommended Actions

1. Wait a few minutes and try again.

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